FMCG SUPPLY CHAIN ANALYTICS & INVENTORY CONTROL TOWER

Where does return value concentrate in an FMCG distributor?

4.4M
rows of weekly sales and returns, 7 weeks

1.50%
of 30M units sold came back

4.3M
return value across 679 SKUs

Public Grupo Bimbo dataset, every 20th depot sampled. Diagnostic project

18.5% of products drive 80% of return value, and the largest share sits in stable, high-selling SKUs

AX: ~64%

of return value from 117 SKUs returning only 1.18% of units. Volume-driven waste: fix forecast accuracy and order sizing, not supply.

CY / CZ: 90 SKUs

about 0.5% of sales value but 10.2% and 19.6% of units returned. Rate-driven waste: test minimum orders or a range review.

ABC by cumulative sales value, XYZ by variability of weekly demand. 679 SKUs present in at least 5 of 7 weeks.

One ID, "PUEBLA REMISION" (client 653378), is 99.6% of channel 5 and returns 6.9% of units against a 1.5% average

6.90%

return rate across 12 routes in 2 depots: 33,928 units returned, return value 277,873.

1.6% vs 7.6%

share of all units sold vs share of all units returned: about 4.6x over-indexed on returns.

15.91%

route 3005 within it. Weekly sales steady at 5.1K to 7.5K units; return rate swings from 7.8% to 27.9%.

The label "REMISION" (Spanish for a delivery or consignment note) reads like a recording bucket, not a named store. What it represents needs confirming with the data owner before acting.

Two automatic order-cutting rules lost money, so the tower recommends review, not automation

Test	Result	Why
Forecast plus safety stock replaces replenishment	9x to 28x actual returns	Actual returns are only 1.5% of units; a 4-week average cannot match that
Cut deliveries where recent returns were high	3.7 to 5.9 lost sales per return avoided	Net value negative at 50% and 70% cost of goods

8,182 depot-SKU-weeks, A and B SKUs. Fill rate is measured against recorded demand, so it is optimistic.

Give planners a weekly review list, and add the data needed to automate it

326 depot-SKUs

above a 5% return rate in weeks 7 to 9. First confirm what client ID 653378 (PUEBLA REMISION) represents, then review its routes. AX: improve forecast accuracy. CY/CZ: test minimum orders or range review.

Needed to go further

Stock on hand, real lead times, cost data, and more than 7 weeks of history.

Rates above 100% in the list are a timing effect: returns are logged in a later week than the delivery.